SCCD-X v2.00 · PROSE READING · THE 2027 FORECAST

Timor-Leste (TL)

The freest and the poorest, in the same row

Run 2026-10-09 · horizon to end-2027 · LSODA

The figures this reading rests on

Band	Tier	Mode	Ψ 2027	θ_{25}	Δ_norm	R_B
Negotiated	Coherent	VIOLENT-ADJUSTMENT EXPOSED	0.826	1.000	+0.214	0

Loops none · Nearest gate c5 ~3y · At 15 years Equilibrium / Incoherent

Timor-Leste reads Negotiated / Coherent through 2027 with no active loop, and no parameter flips its verdict at ±20%. It also carries the highest carrying-capacity load in the region (d_1 = 0.91), the second-highest surplus-youth score (d_5 = 0.79), and the largest extraction squeeze of all eleven (+0.580). Those sit together, and the pairing is the point.

On every civic measure Timor-Leste leads the region outright. RSF ranks it 30th of 180 in 2026 — ahead of every other ASEAN member and most of Europe — and V-Dem's liberal-democracy score of 0.549 is nearly double Indonesia's. Civil organisation reads 0.73 and information autonomy 0.68, both the highest here. It joined ASEAN as the eleventh member on 26 October 2025.

It is also the poorest by a wide margin at $4,810 PPP per head, with NEET at 29.1% and youth dependency at 53.7 — the highest in the region. That combination, high $\hat{C}_2$ and $\hat{C}_3$ with low $\hat{S}_1$ and high d_5, is not a contradiction in the model. It is a specific and recognisable configuration: a state with genuine civilian capacity and very little fiscal capacity, carrying a young population it cannot yet employ.

The binding fact is that the Petroleum Fund, not tax, pays for the state. Expenditure runs near 60% of GDP against domestic revenue of about 22%, financed by Fund withdrawals above the Estimated Sustainable Income. That is what produces the largest extraction squeeze in the set: demanded 0.628 against feasible 0.048. And yet L6 does not arm, because the second condition is not met — haven reallocation is 0.20, the lowest of the eleven. The squeeze is real and the legibility response is absent.

That non-firing is the most instructive single result in the Timor-Leste row, and it cuts both ways. Read generously, it says the Lao-style household flight into non-legible stores of value has not started here. Read sceptically, it says a_4 = 0.20 is an analyst estimate for a country with no WGC coverage at all, and the engine is reporting the absence of a number as the absence of a phenomenon.

The adjustment mode is VIOLENT-ADJUSTMENT EXPOSED, as in Laos, and for the same structural reason: d_3 is 0.15, the lowest in the region, so pressure routes down the ancient channel. Modern contraceptive prevalence is 24.1%, against 70.7% in Thailand.

The stress branch

Petroleum Fund drawdown outrunning the ESI, plus a youth-employment shock on a 29.1% NEET base, takes Ψ from 0.826 to 0.621 — a 25% fall, the fourth-largest proportional hit in the region after Thailand, the Philippines and Malaysia — without moving the verdict. At fifteen years the reading is Equilibrium / Incoherent.

What would have to be wrong

No parameter flips the verdict at ±20%, but that robustness is misleading here because the input quality is the weakest in the set. Timor-Leste has no Chinn-Ito observation, no WGC gold data, no contraceptive series after 2016, and its $\hat{S}_1$ is built on a 2022 tax-to-GDP figure that both overstates extraction CAPACITY and understates current resources, because the Fund transfer is not tax.

What to watch in 2027

— The Petroleum Fund withdrawal rate against the ESI. This is the whole of $\hat{S}_1$ and $\hat{S}_5$ for this polity and almost nothing else.

— Whether any domestic non-oil revenue base develops. ASEAN accession is the obvious vehicle and the clock on it is long.

— Youth employment against a 29.1% NEET base, which is what d_5 is reading.

— Any sign of household reallocation into gold or foreign currency. $a_4 = 0.20$ is an estimate, and L6 switching on would change this row completely.

What the engine does not say

The smallest systemic weight in the set (0.0013) means Timor-Leste contributes almost nothing to Ψ_G. That is a statement about GDP share and nothing else; the per-polity reading stands on its own.

This is INTERPRETATION, not engine output. The engine emits a band, a tier, a mode, a loop set and a gate order; it does not emit an argument about what they mean. The companion technical report (SCCDX-2027-TL-en.pdf) carries the numbers and provenance tags this reading stands on.